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VENTURE



Venture gets a rare Native American-led fund in Betsy Fore's Velveteen Ventures



When Betsy Fore was five, her grandmother got her a gift she has never forgotten: A Velveteen Rabbit from Goodwill that Fore believed, with enough love, could spring alive. Decades later, that rabbit has lent its name to Fore's venture firm, [Velveteen Ventures](#), which came to life on Tuesday.

"I realized after building companies for nearly two decades that I could make the greatest ripple in this one precious life by being on the other side of the table," she told TechCrunch. Her companies include the baby food company Tiny Organics (for which she [became the first Native American woman](#) to raise a Series A) and the app builder Wondermento.

IMAGE CREDITS: BETSY FORE

"Instead of building one thing, I can help other founders build dozens of life-changing companies," Fore said.

Fore declined to share what amount the firm's fund would aim to raise, but SEC filings show it started raising in October. The firm, based in the Midwest, will look to invest \$500,000 to \$4 million in seed and Series A companies, focusing on the healthcare, climate, consumer, and community sectors. It hopes to invest in at least 15 to 20 companies.

More interestingly, however, with this launch, Fore becomes one of the few Native American women to launch a venture firm in the U.S.

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A few years ago, when TechCrunch looked for funding statistics for Native American founders, the numbers were so low that they almost couldn't be accurately pulled. Fore has been working to change that — she has [a nonprofit that has worked](#) to offer mentorship and opportunities to Native American founders.

Describing the fundraising process, Fore said it was “thrilling to have held institutional closes out the gate,” and says she has the “support of purpose-driven institutions” that believe a strong ROI also exists in the Midwest.

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“I have found that when we do bring on an LP, it's because they were searching for us,” she said.

Joining Fore at Velveteen is Karla Brollier, also of Native descent, who hails from Patagonia and will lead climate investments at the firm. Katherine Stabler is joining the firm as chief operating officer, after decades as an attorney at private funds.



(L-R) BETSY FORE, KARLA BROLLIER, AND KATHERINE STABLER

IMAGE CREDITS:VELVETEEN VENTURES

Fore said she hopes to honor her ancestors as she runs the fund, adding that a portion of Fund I's carry will go to Native American tribes.

"While not an impact fund," she said, "Velveteen plans on proving that profits and purpose go hand in hand."

Fore previously worked at XFactor Ventures and LongJump Ventures (and [is about to publish a book](#) on entrepreneurship and venture capital).

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Dominic-Madori Davis

Senior Reporter, Venture |

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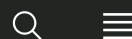
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IMAGE CREDITS: BETAWORKS

New York City-based [Betaworks](#) has closed its \$66 million Fund III, which will focus on investing in early-stage AI companies.

Betaworks has been investing in AI since at least 2016 and, through its investment program Camp, has backed companies such as Huggingface and Granola. Jordan Crook, a partner at the firm (and former TechCrunch employee), said the new fund will focus on agents, native AI interfaces, and application-layer AI.

“Around these themes, we will continue to do straight seed investing and the Betaworks Camps,”

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Crook said.

Fund III will seek to invest in at least 25 pre-seed to seed investments, as well as make at least 50 investments into startups as part of the Betaworks Camp program. “Thus far, we’ve done around 37 deals,” Crook said, adding that the average check size was around \$500,000.

Crook called the current fundraising environment “frothy” for startups, and “spiky” for funds, but she noted that Fund III saw many of the firm’s previous limited partners returning to invest.

“The fundraising environment in venture was challenging in 2024, and we weren’t exempt, given that we were upsizing our fund,” she said.

Betaworks previously raised a \$46 million Fund II in 2020, and a \$48 million Fund I in 2016. It launched in 2008 as a venture studio, and has since become a staple in the New York City tech ecosystem, launching its Betaworks Camp program in 2016. The firm’s other notable investments include Tumblr and Kickstarter.



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Sarah Smith launches \$16M fund, says AI can ‘unlock’ so much for solo GPs like herself

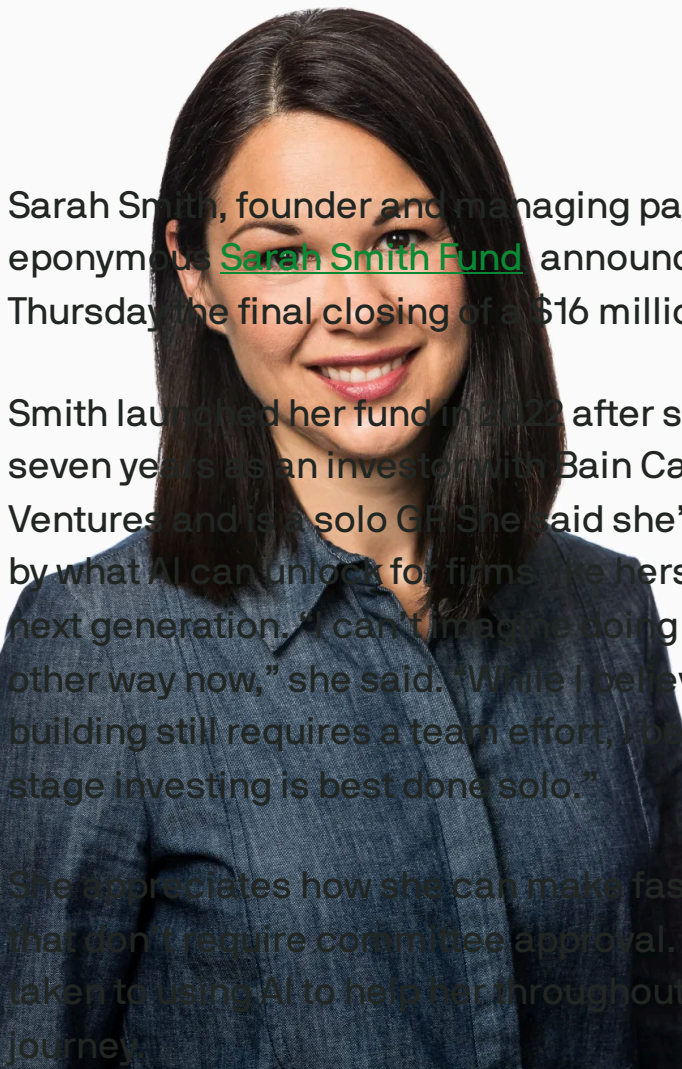


IMAGE CREDITS: SARAH SMITH

Sarah Smith, founder and managing partner of the eponymous [Sarah Smith Fund](#), announced Thursday the final closing of a \$16 million Fund I.

Smith launched her fund in 2022 after spending seven years as an investor with Bain Capital Ventures and is a solo GP. She said she's "stunned" by what AI can unlock for firms like hers, solo and next generation. "I can't imagine doing venture any other way now," she said. "While I believe company building still requires a team effort, I believe early-stage investing is best done solo."

She appreciates how she can make fast decisions that don't require committee approval. She's also taken to using AI to help her throughout this journey.

"Every day I'm dreaming of more ways to support my founders, combining my experience and network with AI," she said.

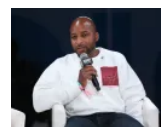
"For example, just last week, I led a values articulation project for one of my founders," Smith continued. "It took me two to three hours of time when it previously would have taken 20. When you have an AI-native firm that can deliver 10x value in 1/10 of the time, you can scale up a large portfolio with just one person."

She said she previously had a \$3 million rolling fund and spent a year raising this Fund I. Fund I hopes to invest in 50 companies and has already backed 17, with the average check size standing at \$250,000. Limited partners include Pear VC, Ulu Ventures, and Verdis Investment Management.

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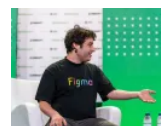
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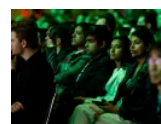
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Fund I focuses mainly on startups in the Stanford ecosystem (Smith is an alumnus of the university). She has research there, too, to back up her focus.

“It has produced more unicorns and exit value than any other university in the world,” she said, citing the [research done by Ilya Strebulaev](#) that shows that 11% of unicorn founders have an association with Stanford. “While much of the legacy Sand Hill firms spend most of their time up in SF, 45 minutes north, I’m doubling down on Stanford campus.”

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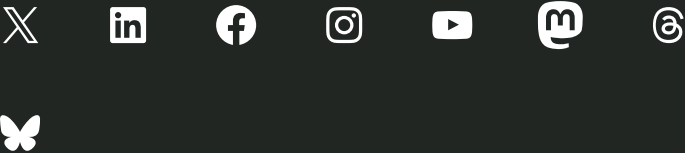
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